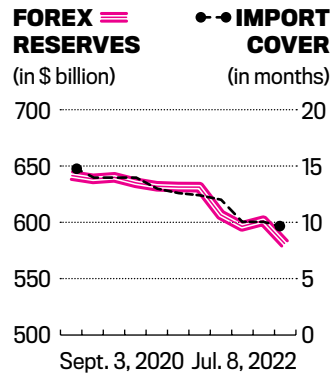
THE MACRO VIEW

INDIA IS SPENDING ITS BUFFER FOREX RESERVES TO PROTECT THE RUPEE EVEN AS FOREIGN INVESTORS FLEE INDIA FOR THE US WHERE THE FED HAS HIKED RATES. INDIA FACES HEADWINDS FROM A NEGATIVE TRADE BALANCE TOO



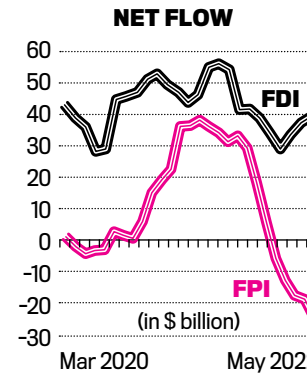
DEPLETING FOREX

With the RBI dipping into India's forex reserves to shore up the rupee, India's import buffer is getting steadily denuded



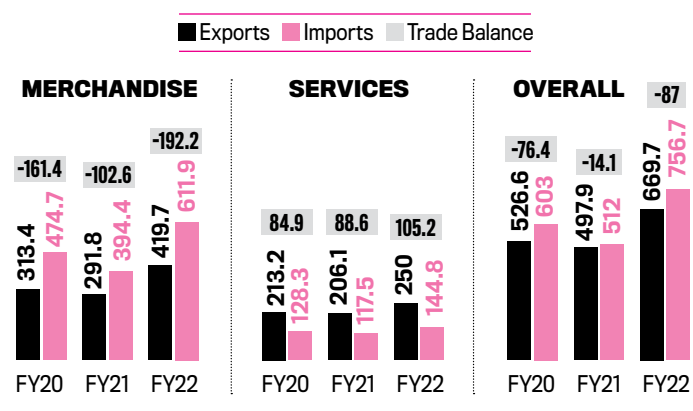
FLIGHT OF CAPITAL

While FDI flow has been stable, FPIs have been selling incessantly for nine months in a row with a cumulative outflow of over $34 billion so far



ALL ASKEW

The overall trade balance has been in negative territory for the past two years



(Figures in $ billion)

Source: RBI, Ministry of Commerce

up by 2.1 per cent to $148.3 billion (Rs 11.8 lakh crore) in 2020-21. But analysts say that any advantages from a weak currency will be offset by higher salary costs in the wake of high attrition, higher sub-contracting costs and high pricing pressures. A weaker rupee could help soften some of these pain points, but for the moment the sector has been downgraded—JP Morgan downgraded major Indian IT firms from neutral to underweight.

The falling rupee is also expected to help exporters of auto components. But as Khalid Khan, 54, of JECO Trading Corporation and vice-president of the Federation of Indian Export Organisations (FIEO), says, "While a weaker rupee does help exports in certain products, it balances out where import content is high. While exports have been gaining, demand from countries like the US is declining. Order books are not as good. The bottom line is that there must be demand." Textiles is another sector likely to benefit from a weak rupee but manufacturers again are not very optimistic. As Rahul Mehta, president of the Mumbai-based Clothing Manufacturers Association of India (CMAI), explains, ev-